NOTE 9 - INCOME TAXES

The Company uses the liability method as required by FASB Statement 109 "Accounting for Income Taxes". Under this method, deferred tax assets and liabilities are determined based on the differences between financial reporting and tax bases of assets and liabilities and are measured using the enacted tax rates and laws.

NOTE 9 - INCOME TAXES (contd.)

The items that comprise deferred tax assets and liabilities are as follows:

	Dec. 29 2001	Dec. 30 2000
Deferred tax assets:		
Alternative minimum taxes paid	$ 349,000	$ 349,000
Net operating carryover	247,600	570,000
Inventory capitalization	--	5,500
Charitable contributions carryover	10,200	8,500
	$ 606,800	$ 933,000
Deferred tax liabilities:		
Accelerated depreciation for tax purposes	$1,972,300	$2,154,100
Undistributed earnings of foreign affiliate, net of tax credit	4,700	4,400
Other	-	-
	$1,977,000	$2,158,500

Provision for taxes consist of:

	Dec. 29 2001	Dec. 30 2000	Jan. 1 2000
Current:			
Federal	$ -	$ -	$ -
State	-	-	-
Deferred	171,949	(539,578)	(97,705)
Total	$ 171,949	$(539,578)	$(97,705)

The provision for income taxes on historical income differs from the amounts computed by applying the applicable Federal statutory rates, due to the following:

	Years Ended		
	December 29 2001	December 30 2000	January 1 2000
Income (loss) before income taxes (credit)	$ 452,870	$(1,520,597)	$(435,125)
Federal income taxes	34%	34%	34%
Computed taxes (credit) at maximum statutory tax rate	154,000	(517,003)	(147,943)
State income taxes (credit), net of Federal income tax benefits	--	(23,885)	(15,260)
Total adjustment for foreign affiliate earnings	17,949	1,310	66,130
Prior year tax examination and other	--	--	(632)
Provision for income taxes	$ 171,949	$ (539,578)	$ (97,705)

The net operating loss carryforward is $569,000 expiring 2020. The tax effect at the maximum tax rate would be $194,000.

The Company has paid and has set forth $349,000 for alternative minimum taxes paid, which may only be used to offset normal income taxes that may be incurred in future years.